# SDG BLOCKCHAIN ACCELERATOR

## Market Penetration Strategy
## Green Giraffe

# 1. Strategic Context and Market Entry Logic

The core problem Green Giraffe addresses is not agricultural productivity , it is **value capture failure within fragmented markets**.

In Angola, productivity has already improved through initiatives such as Kurima. Farmers now produce surplus, yet remain unable to convert that surplus into higher income. The constraint is not supply; it is the absence of **trusted market infrastructure**.

Farmers operate in an environment where:

- pricing is opaque
- quality cannot be verified
- buyers cannot trust supply consistency
- transactions depend on informal intermediaries

This results in a structurally inefficient system where value is lost at multiple points in the chain.

Green Giraffe introduces a **coordination and trust layer** across the value chain, enabling:

- verifiable production
- trusted quality assurance
- transparent transactions
- secure, conditional payments

The strategic entry point is not technology adoption, but **economic realignment**.

The platform must demonstrate immediate, measurable improvement in outcomes:

- higher farmer income
- reduced buyer risk
- improved transaction reliability

If this is achieved, adoption follows naturally. If not, no amount of technical sophistication will drive usage.

# 2. Market Structure and Economic Opportunity

The opportunity lies in correcting systemic inefficiencies rather than creating new markets.

## 2.1 Value Leakage Model

| Component | Estimated Impact per Farmer | Description |
|---|---|---|
| Post-harvest losses | 20% – 30% | Due to storage, logistics, and delays |
| Price inefficiency (middlemen) | 20% – 40% | Lack of transparency and bargaining power |
| Payment delays / defaults | 5% – 10% | Informal and unsecured transactions |
| **Total value leakage** | **~40% – 60%** | Combined systemic inefficiencies |

## 2.2 Economic Impact at Scale

| Metric | Conservative Estimate |
|---|---|
| Avg. farmer annual output | $1,000 – $3,000 |
| Value lost per farmer | $500 – $1,500 |
| Addressable farmers (initial scale) | 100,000 |
| **Total recoverable value** | **$50M – $150M annually** |

### Key Insight

Green Giraffe does not create value , it **unlocks trapped value** by:

- reducing losses
- improving pricing
- enabling access to formal markets

This makes the value proposition **immediately tangible**, which is critical for adoption.

## 3. Market Dynamics and Adoption Constraints

This market is defined by structural friction rather than competition.

### 3.1 Core Constraints

| Constraint | Description | Strategic Implication |
|---|---|---|
| Trust deficit | Buyers and farmers do not trust each other | Platform must verify both sides |
| Fragmentation | Multiple actors operate independently | Requires coordination layer |
| Infrastructure limits | Connectivity, literacy, logistics gaps | Must support assisted usage |
| Informal systems | Middlemen dominate transactions | Must outperform existing flows |

### 3.2 Adoption Reality

Unlike regulated markets:

- Adoption is **not mandatory**
- Behavior change is required
- Switching costs are social, not technical

Therefore, the system must outperform the existing informal system on:

- price
- speed
- reliability

## 4. Target Market and Entry Strategy

The correct entry point is not individual farmers, but **structured ecosystems where supply already exists**.

Green Giraffe leverages the Kurima ecosystem, which has already:

- improved productivity
- organized farmers
- created infrastructure nodes (RTCs)

### 4.1 Initial Target Configuration (Pilot)

| Component | Scope |
|---|---|
| Farmers | 50–100 |
| Crop | Single high-demand crop |
| Geography | Selected RTCs |
| Buyers | 1–2 verified offtakers |

| | |
|---|---|
| Duration | 6 months |

### Strategic Rationale

Constraining the pilot allows:

- full control of the value chain
- measurable impact
- validation of the entire system

The goal is not scale , it is **proof of economic superiority**.

## 5. Competitive Landscape

The competition is not technological , it is **behavioral and structural**.

### 5.1 Functional Competition

| Category | Role in Market | Weakness |
|---|---|---|
| Informal middlemen | Provide liquidity and access | Extract value, lack transparency |
| NGOs / programs | Improve productivity | Do not solve market access |
| Agri marketplaces | Digital matching | Do not solve trust or logistics |

### 5.2 Strategic Positioning

Green Giraffe positions itself as:

**A full-stack coordination layer across agricultural value chains**

This includes:

- identity
- verification
- transactions
- payments
- reporting

It does not replace actors , it **connects and standardizes them**.

## 6. Market Entry Strategy

Market entry is designed to solve coordination, not just distribution.

### 6.1 Phased Strategy

| Phase | Timeline | Objective | Outcome |
|---|---|---|---|
| Phase 1 | 0–6 months | Validate system in controlled pilot | End-to-end transactions |
| Phase 2 | 6–18 months | Expand across value chains | 1,000+ farmers |
| Phase 3 | 18+ months | Scale ecosystem | Regional replication |

### 6.2 Phase 1: Pilot Execution

Key flows:

- demand listing

- farmer onboarding
- QA verification
- batch creation
- escrow payment

Success metrics:

- completed transactions
- reduced losses
- improved pricing

### 6.3 Phase 2: Expansion Logic

Focus shifts to:

- increasing volume
- onboarding aggregators
- scaling QA operations

### 6.4 Phase 3: Infrastructure Positioning

At scale, the platform becomes:

- system of record
- compliance layer
- coordination mechanism

## 7. Revenue Model and Scaling Logic

The revenue model must align with user economics.

### 7.1 Revenue Streams

| Stream | Description | Scaling Driver |
|---|---|---|
| Marketplace commission | 1–3% per transaction | Volume |

| | | |
|---|---|---|
| SaaS licensing | NGOs, buyers, cooperatives | Institutional adoption |
| ESG / certification services | Traceability, compliance | Buyer demand |
| API integrations | External services | Ecosystem growth |

### 7.2 Revenue Projection Example

| Metric | Year 1 | Year 2 | Year 3 |
|---|---|---|---|
| Farmers | 100 | 1,000 | 10,000 |
| Avg. transaction volume | $1M | $10M | $50M |
| Commission (2%) | $20K | $200K | $1M |

### Key Insight

Revenue scales with:

- transaction volume
- number of value chains
- buyer participation

Not with:

- number of individual users

# 8. Adoption Strategy

Adoption must be driven by **immediate and visible value**.

## 8.1 Adoption Drivers

| User Type | Primary Driver | Barrier | Solution |
|---|---|---|---|
| Farmers | Higher income | Trust, literacy | Assisted onboarding |
| Buyers | Reliable supply | Quality risk | QA verification |
| NGOs | Impact visibility | Fragmentation | Unified system |
| Governments | Policy data | Lack of visibility | Real-time analytics |

## 8.2 Core Mechanism

Adoption is achieved through:

- embedding into existing programs
- using trusted intermediaries
- minimizing user complexity

# 9. Key Risks and Mitigation

| Risk | Description | Mitigation |
|---|---|---|

| | | |
|---|---|---|
| Adoption risk | Resistance to new system | NGO-led onboarding |
| Operational complexity | Multi-actor coordination | Standardized workflows |
| Infrastructure | Connectivity limitations | Offline-first design |
| Financial | Delayed funding | Multi-source funding strategy |

## 10. Strategic Conclusion

Green Giraffe is not deploying a product into an existing market. It is restructuring how agricultural value chains function in environments where trust and coordination are missing.

The opportunity lies in transforming:

- informal, opaque systems
  into
- verifiable, transparent, and coordinated markets

The success condition is simple:

If the platform consistently delivers:

- higher prices for farmers
- lower risk for buyers
- faster and more reliable transactions

it becomes embedded in the value chain.

At that point, it is no longer a tool , it becomes **infrastructure**.